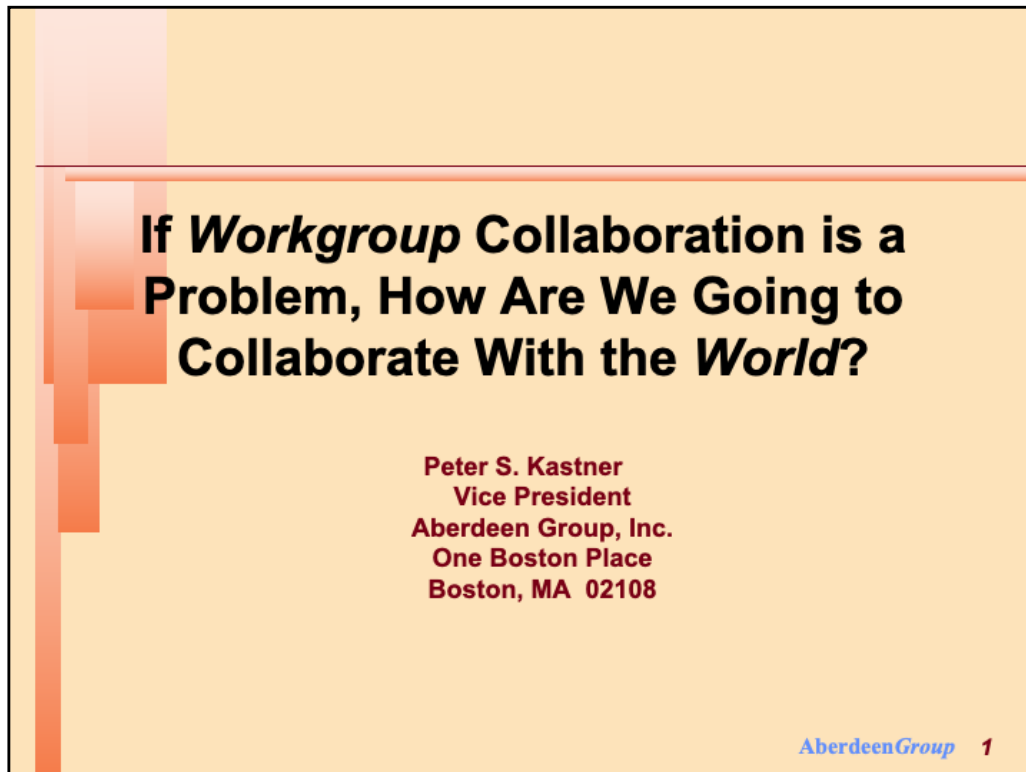




It has taken most organizations at least a decade to deploy workgroup collaboration systems (i.e., groupware), yet complaints about costs, security, manageability, and interoperability are all too common. And many suppliers (e.g., Novell) lack a clear vision of the future.

Aberdeen Group's research indicates workgroup collaboration will quickly spread far beyond the workgroup's cubicles -- across the enterprise via Intranets and to customers and suppliers via the Internet. This will create challenges and opportunities that IT organizations should understand. Moreover, new approaches such as Oracle's InterOffice will play a pivotal role in the proliferation of worldwide collaboration systems

- **Bio and responsibilities**
- **Aberdeen Group Inc at www.aberdeen.com**
- ***Oracle InterOffice -- Helping IS deploy solutions to business partners and customers over the Internet -- ask for free copy***



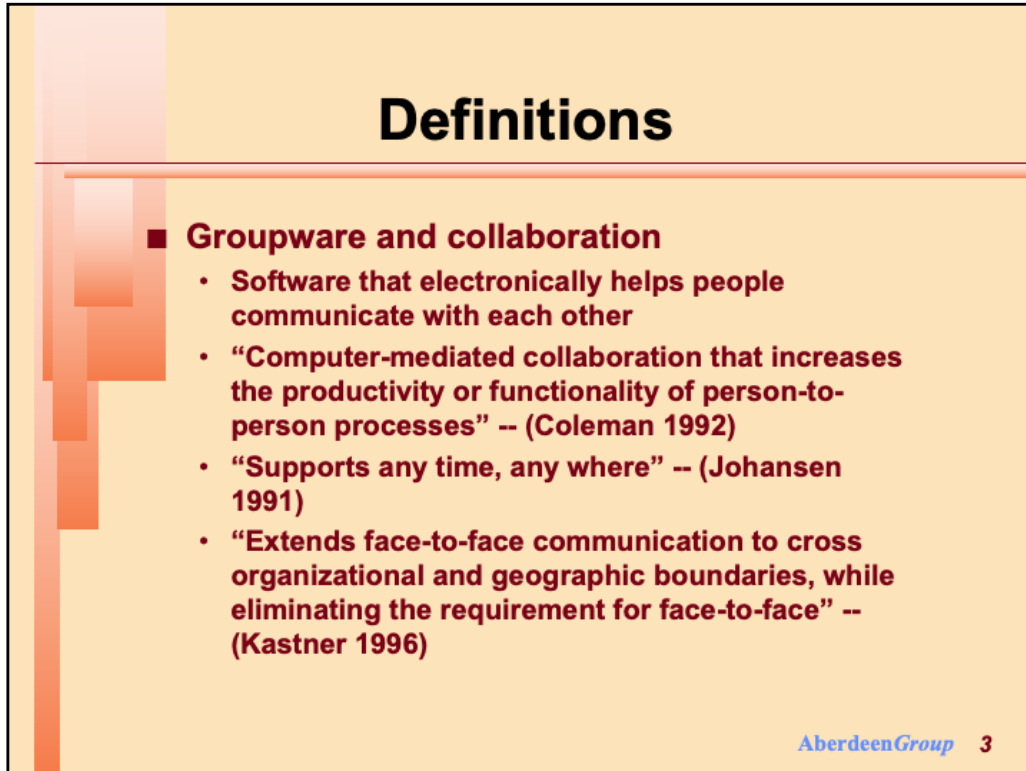
This talk is aimed at IT executives who are thinking about new ideas (hate the Paradigm word) for how to think about, plan, and execute a successful reengineering strategy that opens up the Enterprise to customers, suppliers, and other workers.

Workgroup and collaboration products have been around for almost 20 years. When did you first use e-mail?

But past experiences will not work in our fast changing world

We will look at the workgroup collaboration market

- Business, market, and technology trends that will change our thinking
- Discuss how to set technology requirements for your Enterprise
- Look at Aberdeen's research, recommendations, and conclusions



Definitions

- **Groupware and collaboration**
 - Software that electronically helps people communicate with each other
 - “Computer-mediated collaboration that increases the productivity or functionality of person-to-person processes” -- (Coleman 1992)
 - “Supports any time, any where” -- (Johansen 1991)
 - “Extends face-to-face communication to cross organizational and geographic boundaries, while eliminating the requirement for face-to-face” -- (Kastner 1996)

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Lots of definitions

Communication via electronics

Coleman: productivity and reengineered processes

Johansen: anytime, anywhere anticipated the Internet

Kastner: look outward. Avoid airplane trips. Meet new markets and geographies.

The Market

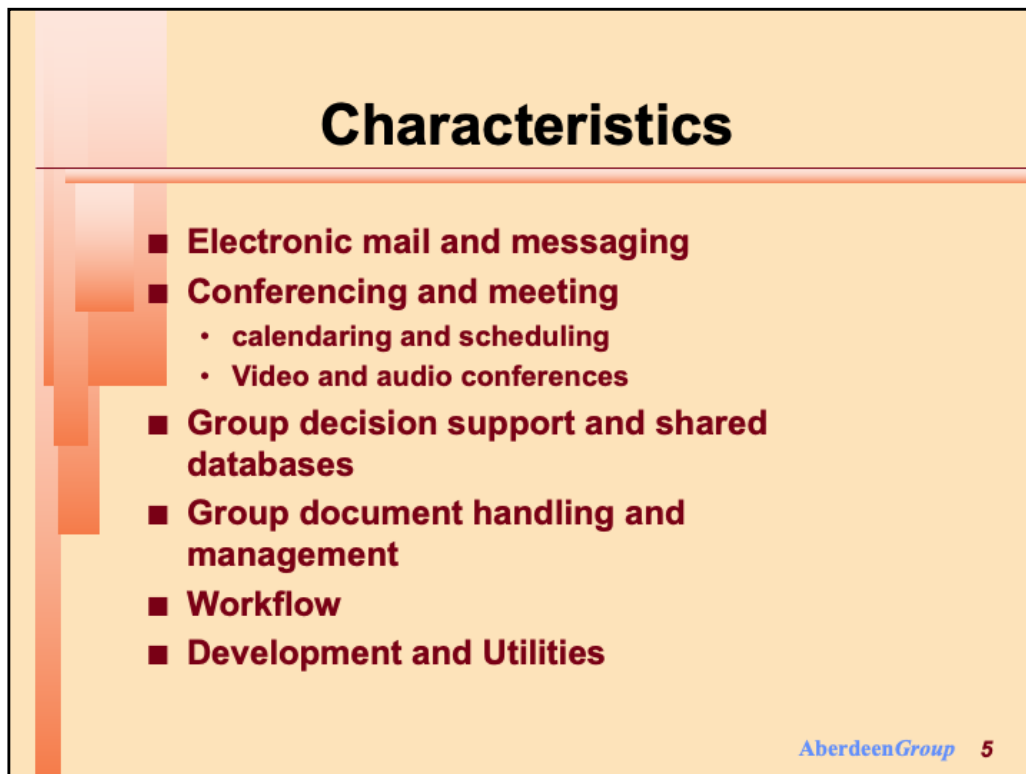
- **Groupware market is growing quickly**
 - From US\$1.7 Billion in 1993 to \$5.5 billion in 1998 (Yankee Group)
- **Growth**
 - 13.6 million users of Lotus Notes or ccMail (IBM)
 - Over 5 million GroupWise seats (Novell)
 - Growth rate is 15% per year (Ovum)
- **Growth in Intranets & Internet**
 - 15 million users
 - Dramatically increasing monetary investments
 - One-half or more of Web servers are Intranets (Netscape)

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Large market attracts major product players

Fast growing with large installed base

Projected merger with Internet & Intranet technologies should
explode collaboration market over next five years



e-mail -- ties WW companies together today. Proof Oracle etc.

Conferencing -- calendar & schedules today

- discussion groups -> Internet newsgroups
- video conferencing tomorrow

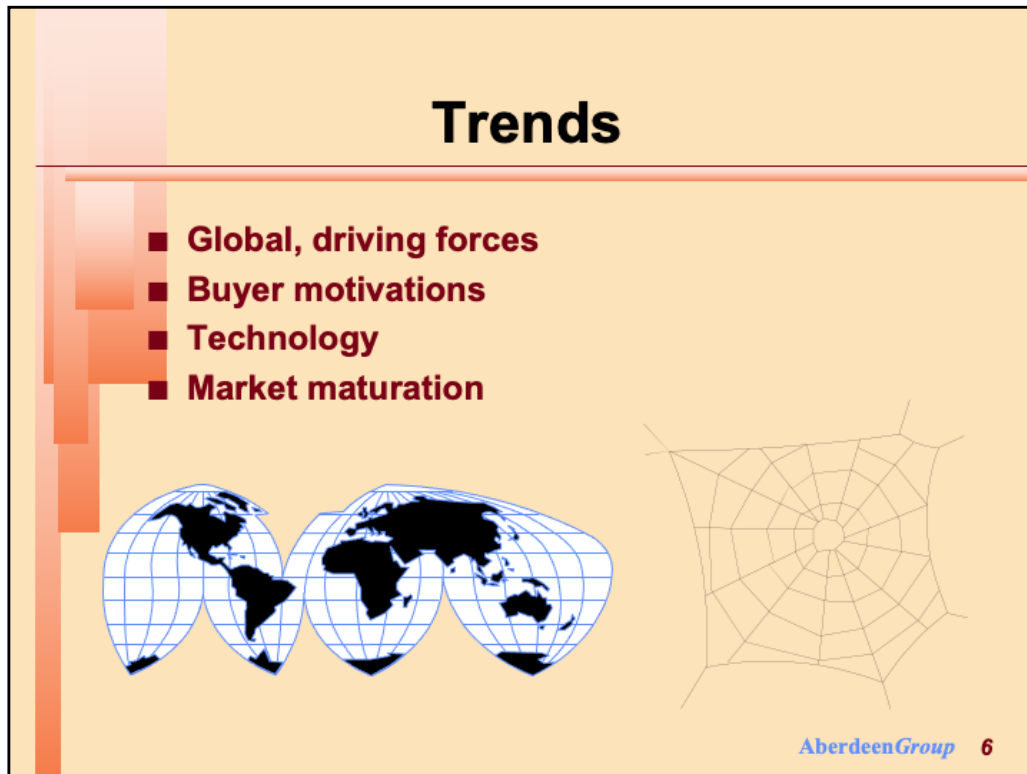
Group decision support

- maybe Notes-like 'cabinets'
- Workgroup datamarts for complex DSS, OLAP

Documents -- most organization's data is here

Workflow -- fewer secretaries; automatic; self-adapting process
saves unnecessary steps; re-engineering; e-mail as workflow

Development too -- workgroup duties vary. Need to marry
workgroup-specific applications with general-purpose collaboration



Butterfly world hits the Web

Segue into Trends that are driving changes in the collaboration market

- business forces
- Why people buy
- Rapid changes in technology
- Market maturation

Global, Driving Forces

- Geographic dispersion of enterprises
- Communication and coordination
- Cycle time pressures -> virtual organizations
- Globalization of business
- Downsizing -> process automation
- Leveraging knowledge as a competitive tool



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Business Competition is Global

Phillips NV

- Dispersion: talent pools, cheaper manufacturing, supply chain management
- Communicate: 24x7 operations x 365 days
- Cycle times: project teams. Global 24x7 development. India sw.
- Globalization: everywhere, competition
- Downsizing: business process efficiency. Now process automation.
 - + Parcel management system
 - + Internet news groups
- Knowledge is power

Motivations

- Better cost control
- Fewer meetings
- Better customer support
- Automating routine processes
- Including customers and suppliers
- Leveraging professional expertise
- Increased productivity
- Better time to market
- Support for Total Quality Management
- Better global coordination
- Integrating geographically disparate teams
- Differentiation

*"There will be two types of organizations in the future:
the quick and the dead"*
-- Andy Grove, Intel

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Motivations for Buying workgroup collaboration systems

Andy Grove of Intel says ...

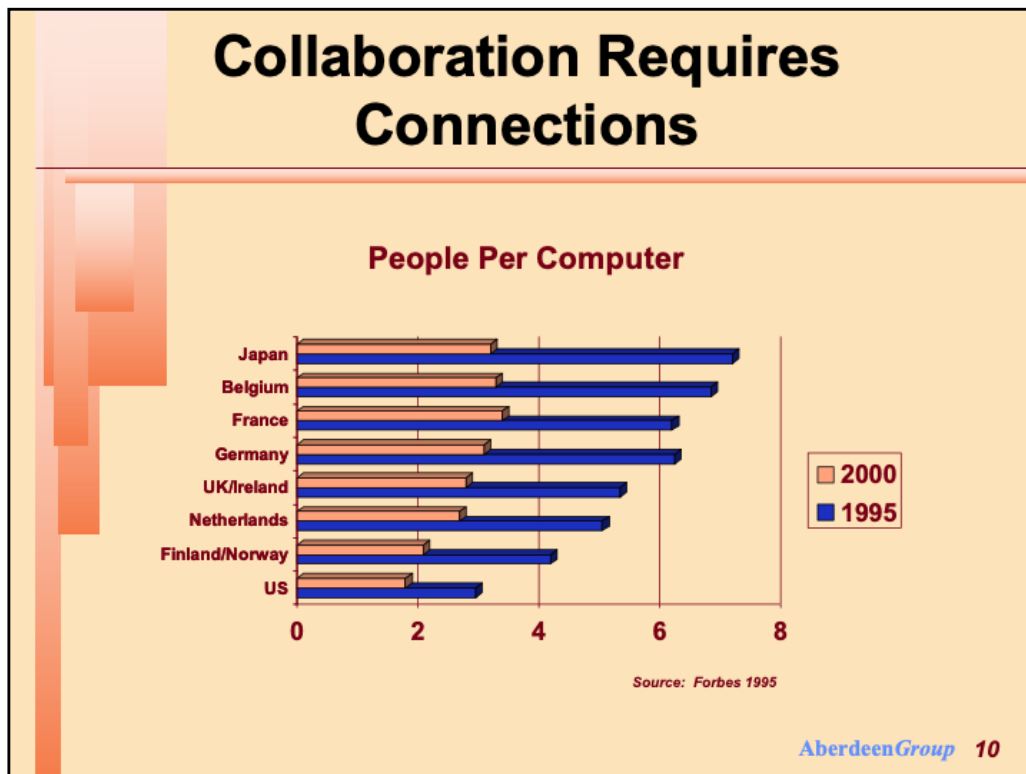
Better customer support: Cisco 25,000 calls eliminated

Technology Trends

- **Better, cheaper PCs and soon NCs**
- **Bandwidth**
 - Greater: Fast Ethernet, ATM
 - Cheaper: decreasing cost per network connection
- **Storage: more at less cost**
- **Multimedia: getting closer but still not there**
- **Enterprise application management nears**
- **Connectivity: Web opens the world**



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PCs per person will prove to be a good indicator of the overall competitiveness of a country in the global economy

The Netherlands is highly advanced

Market Maturation

- **USA is most connected**
- **Scandinavia, Benelux: mature economies, cooperative**
- **UK: follows USA trends a year behind**
- **France: major force but insular -- 2-3 years behind USA**
- **Germany: Slow to act. 3 years behind USA**
- **Eastern Europe: fast growth on tiny base**
- **Southern EC: slow to build infrastructure**

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Breaking Down Barriers

- **Past groupware systems looked inward**
- **Future groupware systems must look outward**
 - Customers
 - Suppliers
 - Even competitors!
- **The Internet will enable this worldwide collaboration**



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Groupware systems in the past helped workgroups collaborate.
Good for the workgroup but not necessarily good for the enterprise.

The globalization of the economy, coupled with the availability of the Internet for transport creates a brand, new, once in a generation opportunity

- communicate with your customers
- work more closely with suppliers on designs, supply chain management issues, quality
- Competitors: if it leads to standards, or larger markets for all. Example: cable modems.

Crafting a Strategy

- **An enterprise groupware strategy cannot come from the IT department**
- **Beware the “squeaky wheel” -- think globally and long term**
- **Electronic mail is always the great equalizer and the logical “first step”**
- **Groupware is an application starting point, not the finish -- a better infrastructure is a better long-term investment**

President

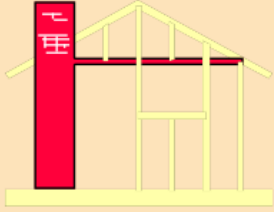
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But before you walk into the President's office ...

1. It takes senior management directives, not just technology from the IT department, to effect sensible reengineering. Yes, workgroup collaboration is an ideal technology to use as the infrastructure for process reengineering.
2. Plan for the long term, think big
3. The first application to roll out is almost always electronic mail. Make sure the top bosses start using it to direct their staff. Then, the rest will naturally take care of itself. Example: IBM
4. Buying groupware software should be like buying programming software: a tool and not an end point
 - What applications should supplement the core mail, scheduling and document management tools?

Setting Requirements

- Scalability
- Platform and network breadth
- Open standards
- Internet awareness
- Application extensibility



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When evaluating collaboration software:

- scalability: ability to grow (suppliers, customers, acquisitions)
- platforms
- standards: you will buy from lots of sources
- The Internet will absolutely play a large role in future collaboration
- Application extensibility: to build/buy custom applications for workgroups that leverages the productivity enhancers of collaboration software. Example: tie Tax Department to tax regulations on-line; project management tools; video training; knowledge bases



Technologically sophisticated organizations have grabbed collaboration technology to seek/maintain competitive advantage

- computer companies
- Financial services & telecommunications

Organizationally sophisticated enterprises have used collaboration software to

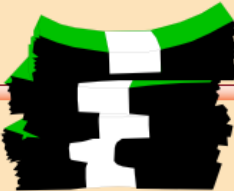
extend management and control across widely separated sites (Delta, Lufthansa)

Reengineer to survive (Harley Davidson)

Some are able to do both

Arthur Andersen and Price Waterhouse
Hewlet Packard (labs)

What About ROI?



- **ROI: Return On Investment**
- **Hard to quantify**
- **Easy to identify the trends**
 - 1.1 million US secretarial jobs disappeared since 1985
 - Very few white collar workers still have personal support in the U.S.
- **Many take a broad view of *productivity***
 - Example: Revenues per employee

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It is a mistake commonly made to push a collaboration system request through a simple ROI spreadsheet model. You will usually come out with a negative return on investment.

Why? Because if collaboration's benefits typically allow organizations to grow without adding (as many) people. Productivity improvements partially brought about through collaboration may be lost or difficult to measure

But look at the macro-economic evidence. Since 1985, many US workers have lost their secretaries (or worse, their jobs) to reengineering and downsizing. Yet productivity per worker is up considerably (source: US Dept of Commerce).

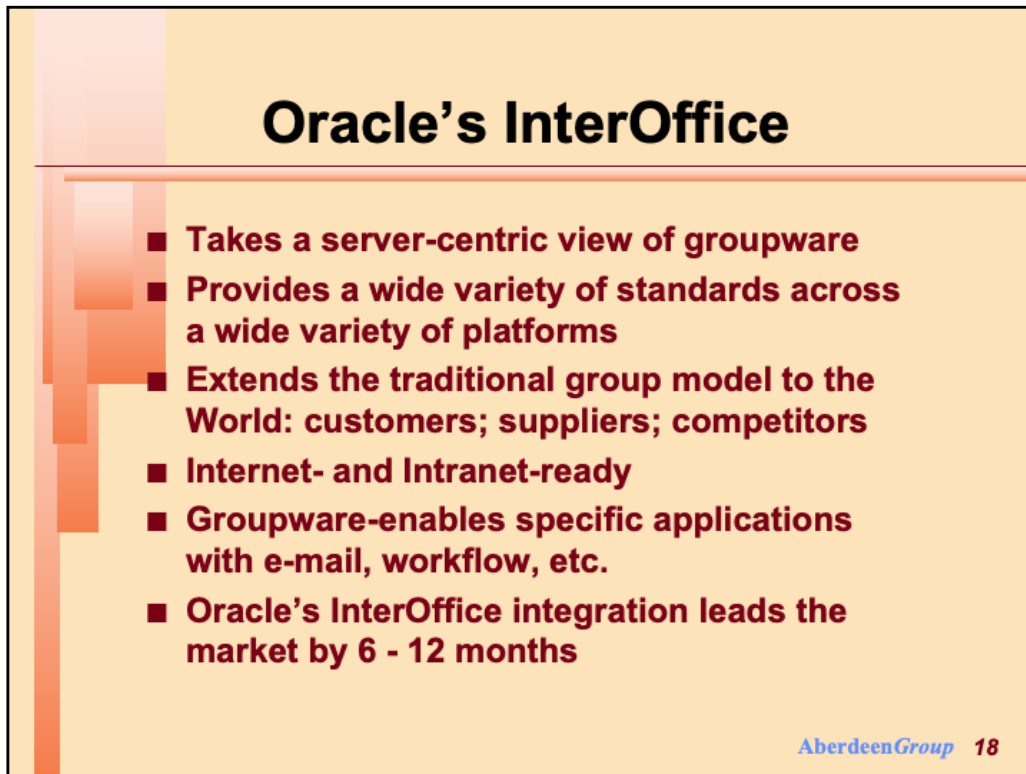
Ideal Groupware

- Portable (2 meanings)
- High-performance
- Scalability
- Effective user interface
- Efficient protocols
- Distributed management
- Distributed security
- Legacy interoperability



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Portable: cross-platform and wireless

A presentation slide with a light orange background and a vertical orange bar on the left. The title "Oracle's InterOffice" is centered at the top in a bold black font. Below the title is a list of seven bullet points, each preceded by a small dark red square. The text is in a dark red font. In the bottom right corner, the text "AberdeenGroup 18" is displayed in a small blue font.

Oracle's InterOffice

- Takes a server-centric view of groupware
- Provides a wide variety of standards across a wide variety of platforms
- Extends the traditional group model to the World: customers; suppliers; competitors
- Internet- and Intranet-ready
- Groupware-enables specific applications with e-mail, workflow, etc.
- Oracle's InterOffice integration leads the market by 6 - 12 months

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Oracle: Fewer, bigger servers -- easier to administer. Others: server per workgroup philosophy

Standards: Oracle InterOffice is open. See next slide.

With built-in Internet-awareness, it's easy to envision widely deployed applications at customers, suppliers and others

Adds collaboration capabilities to custom IT-built applications for workflow, scheduling, etc.

Integration is excellent. Ties to RDBMS, ConText, video server, on-line analytical processing (OLAP) add enormous value to base collaboration capabilities.

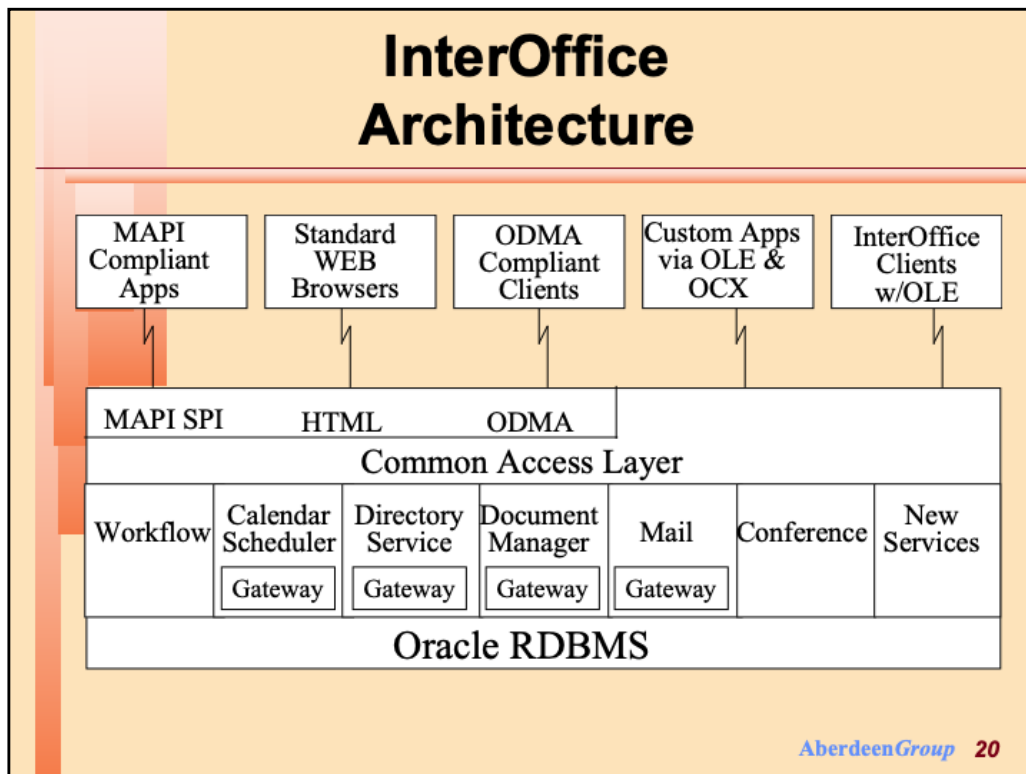
InterOffice Groupware Features

Messaging	Scheduling	Document Management	Workflow
Mail & Directory (w/Synchronization)	Day & Week Views	Any Document Type	Graphical Design
Attachments	Alarms	Check-in & out	Routing
Templates	To-Do Lists	Version Control	Access Control
Conferencing	Automatic Meetings	Full-Text Search	PL/SQL Engine
Shared & Public Folders	Attendee Free-time views	Access Control	
Filters	Access Control	Extensible Doc Attributes	
Mobile Support	Time Zones		

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No detail here, but ...

Full set of features for messaging, scheduling, document management, workflow plus Internet enablement



In order to isolate IT from the enormous changes in underlying technology, Oracle has built InterOffice on a multi-tier architecture.

Standards such as MAPI allow InterOffice to work with other vendors' best-of-breed (or legacy) products.

Ultimately, data is managed by Oracle7, a robust, proven, scalable data repository.

Aberdeen Conclusions

- **Buying groupware for a workgroup is short-sighted**
- **The Internet will expand collaboration outside the enterprise while Intranets create a web inside organizations**
- **A sound technology infrastructure is needed to cope with anticipated new technology leading to new organizational efficiencies (i.e., video conferencing)**
- **Traditional groupware products may lack the stamina to transition outside the workgroup/department**

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Don't buy collaboration software for a workgroup, think about the whole enterprise and all of its constituencies.

The Internet is not just hype. It will become the backbone for worldwide collaboration. It can be used to enormous competitive advantage.

When evaluating workgroup collaboration software, Aberdeen Group places high value on an extensible architecture that isolates technology details from applications and programmers.

Oracle is one of the fastest growing large companies in the world. Oracle runs on Oracle products, including InterOffice. That's not true with a Microsoft. For buyers, ask for customer references for fast growing sites. How have they managed the growth. Would they choose the same products again? Was the product over-promised? Does the product have a future?

